industrialized countries opposed to megaprojects such as hydroelectric dams. One study shows that there are more than 70 U.S. congressional mandates tied to narrow environmental or human rights issues or specific countries that nix projects, at a time when the United States has become stingier in funding multilateral development banks (MDBs).[133]

By comparison, the AIIB brought back the priority on infrastructure in response to the reported $8 trillion infrastructure needs in the next ten years in Asia alone.[134] Jin Liqun, the bank's first president, is former vice minister of China's Ministry of Finance, and he has vowed to run a "clean, lean, and green operation" to the "highest international standards" but also speedy. Jin also reportedly supports tough environmental and social standards and expects to model the AIIB on existing MDBs, not Chinese banks,[135] but outside observers have been skeptical. The AIIB will have a less expensive nonresident board, saving the $70 million annually spent by the World Bank. Convening meetings by video conferencing does not necessarily mean less rigorous oversight with Western participants such as Germany as board members.

The AIIB is also a regional bank focused on Asia, so it is a direct rival to the ADB, traditionally headed by a president nominated by G7 member Japan, and with the controlling shareholding of 32 percent divided equally between Japan and the United States.[136] Consequently, the AIIB invited much higher-profile political drama than either the OBOR or the NDB. In late 2014 through early 2015, the United States pressured its allies, including Australia and South Korea, not to become founding members of the AIIB,[137] and Japan also stayed out.[138] The major showdown came in March 2015, as the deadline to join as a founding member drew near. Then Britain, one of the closest U.S. allies, jumped ship, fearing (before Brexit) that Frankfurt could outmaneuver London to become the leading RMB offshore trading center, provoking a stampede in which fifty-seven countries around the world, including Germany, France, Italy, Australia, and South Korea, all became AIIB founding members. The AIIB instantly became a global multilateral bank and, according to former U.S. Treasury Secretary Lawrence Summers, this was "the moment the United States lost its role as the underwriter of the global economic system."[139]

The AIIB's headquarters is in Beijing, and China holds 26.1 percent of the voting shares.[140] Although the AIIB spectacle stole some thunder from the near-simultaneous launch of the NDB (with both occurring in mid-2015), the